

APPLICATION SOFTWARE

Meridian Ledger Software Inc.

MLSW | NASDAQ

A dependable subscription business, priced for a margin recovery it has not yet shown

RECURRING REVENUE SUPPORTS THE VALUATION CASE

Meridian Ledger sells the accounting software that mid-sized companies use to keep their books, send invoices and close each month's accounts. Almost all of its revenue comes from annual subscriptions, which is why its results move slowly and predictably: Q3 FY26 revenue reached \$1.24 billion, up 12.9% year over year, with subscriptions providing 95.0% of the total. That base is what makes the shares worth valuing on cash flow rather than on hope.

PROFITABILITY IS THE QUESTION, AND IT HAS MOVED THE WRONG WAY

The non-GAAP operating margin, the company's adjusted profit measure that leaves out share-based pay and acquisition charges, fell to 38.0% from 41.5% a year earlier, a contraction of 350 basis points that management attributes to the cost of running AI models inside the product. The company has not yet shown that customers will pay more for those features, so for now the AI programme is a cost without a disclosed price.

AI ADOPTION IS AHEAD OF AI REVENUE

AI-related recurring revenue passed \$210 million, early evidence that customers use the new tools inside workflows they already pay for. Whether that use turns into higher prices, better retention or a larger share of the customer's spending is not yet visible in the disclosures, and growth from an undisclosed base is not proof of a material contribution.

THE BASE CASE IMPLIES 11% DOWNSIDE

Our base value of \$189 per share compares with the \$212.40 reference close. The model starts from \$1.65 billion of normalised free cash flow, after treating share-based pay to employees as a real cost, grows it from 9% to 5% a year over five years and discounts at 10.0% with 2.5% terminal growth. Roughly two thirds of that value comes from the terminal period, so the result is an intrinsic-value estimate, not a precise target. The shares look fairly valued to slightly rich unless the margin recovers; they look cheap only in the bull case.

WHAT WOULD CHANGE OUR MIND

A margin back above 40% or a separately disclosed AI revenue line would move us toward the bull case. A second consecutive quarter of margin below 37% with AI revenue growth slowing below 30% would move us toward the bear case.

1. Revenue growth of 12.9% rests on subscription renewals, with the services business at 5% of revenue and shrinking.
2. The 350 basis point margin contraction is the largest single change in the numbers this year and is not yet explained by disclosed AI revenue.
3. Net cash of \$570 million after leases supports buybacks without new debt.
4. The discount rate dominates the valuation, and the set of comparable companies on which it rests is thin; that is the weakest part of our case.

Financial highlights | Q3 FY26, except trailing free cash flow

Metric	Reported value	Growth or context
Revenue	US\$1,240mn	12.9% year over year
Subscription revenue	US\$1,178mn	95.0% of Q3 FY26 revenue
Non-GAAP operating margin	38.0%	41.5% a year earlier
AI ending ARR	US\$210mn	Standalone AI revenue not disclosed
Trailing free cash flow	US\$1,910mn	Twelve months to Q3 FY26

Source: D2, D3, D4. Figures as reported; ARR is annual recurring revenue, the yearly value of subscriptions in force at the period end.

RESEARCH VIEW

Undervalued

with execution risk

Base-case DCF value

US\$189

Reference close US\$212.40

Implied upside -11%

Price date 26 September 2026

Intrinsic value, not a 12-month target.

VALUATION SCENARIOS

Scenario	Value
Bear	US\$125
Base	US\$189
Bull	US\$270

ANALYST

Faldo Lyon Prasetyo
Investment Analyst

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How the business earns

Meridian Ledger makes cloud software for the finance team of a mid-sized company, meaning a business too large to run on a small-business bookkeeping app but not large enough to justify a full enterprise resource planning system; in the company's definition, firms with roughly 50 to 2,000 employees. The product keeps the general ledger, issues and collects invoices, consolidates the accounts of several subsidiaries, and runs the month-end close, the process in which a finance team reconciles every account and signs off the period's numbers. The close is the part customers feel most: it is repetitive, deadline-driven, and audited, so software that shortens it from ten days to three has a direct claim on the finance team's time.

Customers pay an annual subscription with two components: a charge per legal entity whose books are kept on the platform, and a charge per seat, meaning each named user with a login. A company that acquires a subsidiary or hires another accountant pays more, which is how the installed base grows revenue without new customers. Subscriptions were 95.0% of Q3 FY26 revenue; the remaining 5.0% is implementation and training, which the company treats as a cost of landing customers rather than a business in its own right.

Revenue by source, Q3 FY26

Revenue source	Q3 FY26	How it is earned
Subscription	US\$1,178mn / 95.0%	Annual contracts priced per legal entity and per user seat
Services and other	US\$62mn / 5.0%	Implementation, training and support

Source: D2.

Meridian is not the only company doing this. Small-business tools such as Northwind Books serve firms below its range, enterprise suites such as Corvid Financials serve firms above it, and a handful of private specialists sell close-automation on its own. Its edge is narrower than a monopoly and more durable than a feature: the ledger is the system of record for a company's financial history, and moving it means re-keying balances, retraining staff and re-running a year of audit trail. That switching cost is why the company reports net revenue retention above 100%, meaning its existing customers as a group spend more each year than the year before, even after the ones who leave. Customers stay because leaving is expensive and the product is adequate; they pay more because they add entities and seats as they grow. Neither of those reasons depends on the software being the best available, and that matters for the AI question below: the franchise can survive a competitor with better AI features, but not a competitor that makes migration cheap.

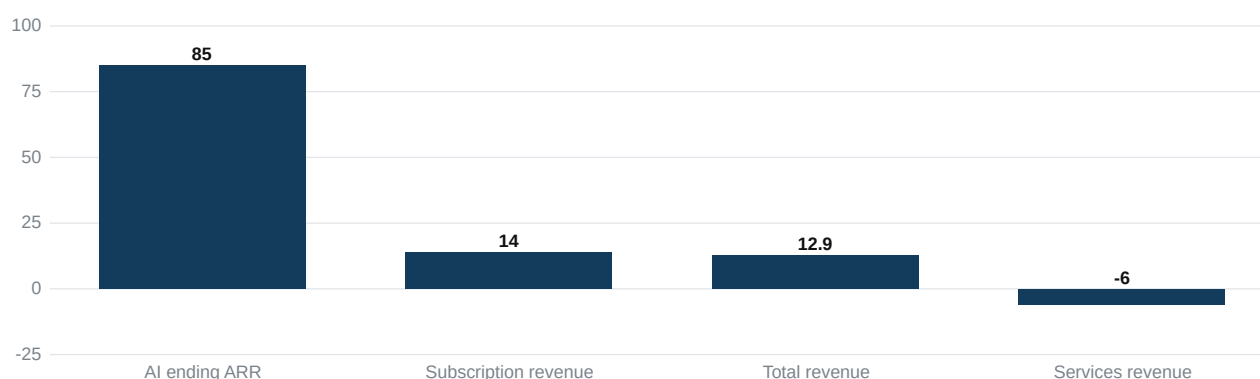
The questions

Will AI usage turn into AI revenue?

AI monetisation is promising but not yet proven. AI-related recurring revenue reached \$210 million at the quarter end, early evidence that customers are adopting the automated close and anomaly-detection features inside workflows they already pay for. The more important question is whether that adoption translates into higher pricing, stronger retention or a greater share of the customer's spending. The company has not disclosed AI-specific revenue or quantified the effect of AI on renewal pricing, so it is hard to tell how much of the usage is incremental and how much is a feature customers would have expected at the existing price. At the same time, the margin contracted by 350 basis points over the year, and management attributes most of that to inference cost, the running cost of the AI models each time a customer uses them.

For our forecasts, successful monetisation would mainly support a stronger near-term growth path, through higher seat prices at renewal, and in time a better margin profile as the AI cost base is spread over more revenue. Evidence of higher seat pricing or a separately disclosed AI revenue line over the next renewal cycle would give us more confidence in that outcome; a further quarter of margin decline without pricing news would do the opposite.

Figure 1: Growth by measure, Q3 FY26



Source: D2, D3. AI ARR growth is the company's disclosed minimum. The four measures have different scopes: ARR is the yearly value of contracts in force, the other three are recognised revenue.

Can the margin recover?

The second question follows from the first. Non-GAAP operating margin has drifted from 42% in early FY24 to 38.0% in the latest quarter, and the slope steepened in the last four quarters as the AI features rolled out. Two explanations fit the data. The benign one is that inference cost is a launch expense that falls as the models are tuned and as pricing catches up, in which case the margin returns toward 40% within a year or two. The less benign one is that AI has permanently raised the cost of serving each customer, in which case the margin stays near today's level unless prices rise. The company's commentary leans toward the first reading but has not given a timeline, and it has not separated AI costs from the rest of the cost base in its disclosures.

We model the base case between the two: growth continues but the margin does not recover within the forecast period, which is why our value sits below the share price. The bull case needs the margin back above 40%. A single quarter's margin will not settle this; two consecutive quarters moving in the same direction will.

Competition

Meridian's competitors depend on which job the customer is hiring the software for. For keeping the books and running the close, the alternatives are a small-business tool that the customer has outgrown, an enterprise suite that costs several times more to run, or staying on spreadsheets. For the AI features specifically, the threat is different: a competitor could offer automated close inside a product the customer already owns, and the small-business tools are moving up-market faster than the enterprise suites are moving down.

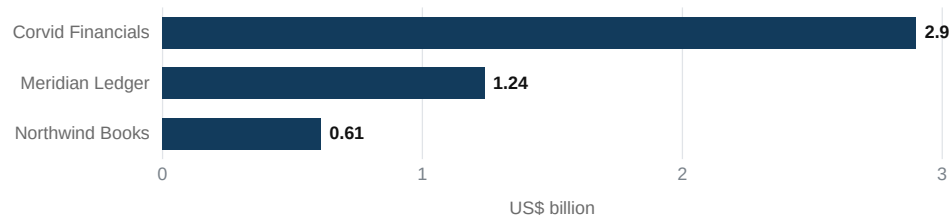
Operating competitors and disclosed scale

Company	Direct overlap	Latest disclosed scale signal	Scope note
Meridian Ledger	Mid-market close and billing	US\$210mn AI ARR; 9,400 customers	AI ARR is an ending figure across products
Northwind Books	Small-business accounting	4.1mn subscribers	Subscribers, not revenue
Corvid Financials	Enterprise resource planning suite	US\$2.9bn quarterly revenue	Product scope much broader

Source: D5. Fiscal calendars and metric definitions differ.

Northwind Books is the one to watch. Its 4.1 million subscribers are mostly far smaller companies than Meridian's 9,400 customers, but it has started pricing per entity and adding consolidation, which are the two features that used to mark the boundary between the segments. If it keeps moving up, Meridian loses the lower end of its market first, which is where new customers tend to come from. Corvid Financials is a smaller risk in practice: its product is built for companies with hundreds of entities and the implementation cost alone exceeds Meridian's annual price.

Figure 2: Quarterly revenue scale across competitors (US\$ billion)

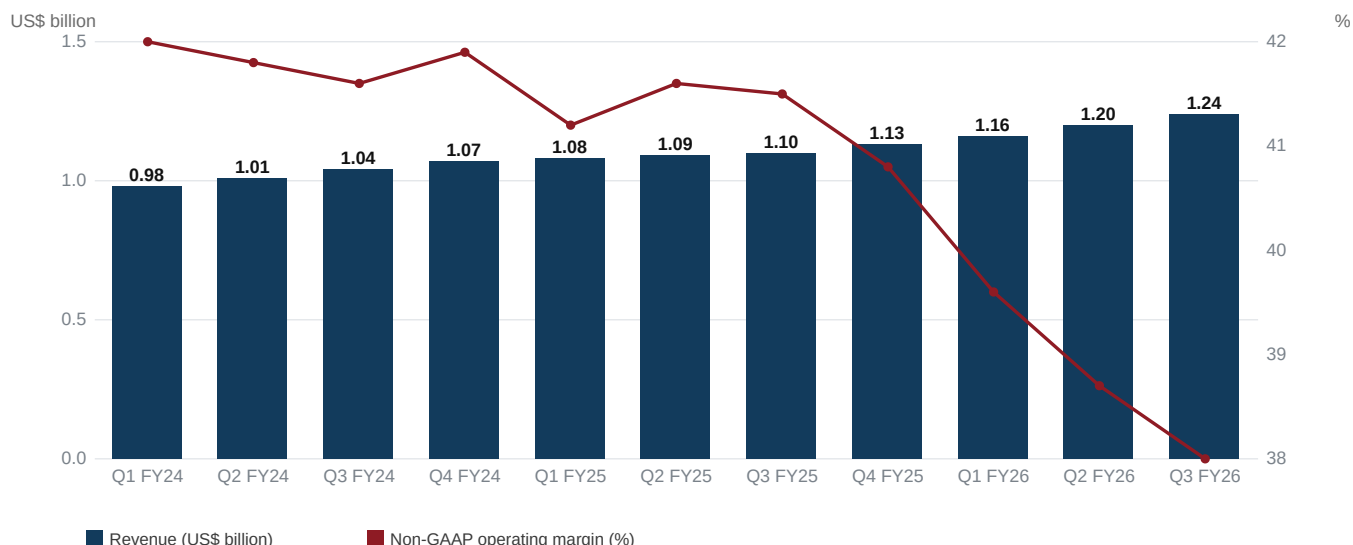


Source: D2, D5. Latest reported quarter for each company.

Financial evidence

Revenue has grown steadily and the margin has not kept up. Quarterly revenue rose from \$0.98 billion in Q1 FY24 to \$1.24 billion in Q3 FY26, an increase of roughly 27%, while the non-GAAP operating margin drifted from 42% to 38%. The pattern matters because a subscription business normally gains margin as it grows: the software is already built, so each new subscription should cost less to serve than the last. The fact that the opposite happened is the clearest sign that the cost of the AI features is real and not yet priced.

Figure 3: Revenue growth and margin drift



Source: D2 investor data sheet. Non-GAAP margin excludes stock-based compensation and acquired-intangible amortisation.

Cash generation is stronger than the adjusted profit suggests, for a reason specific to subscription businesses. Customers pay a year in advance, so cash arrives before the revenue is recognised, and trailing free cash flow of \$1.91 billion exceeds non-GAAP operating income. Against that, the non-GAAP margin leaves out stock-based compensation of \$260 million a year, which is a real transfer of value from shareholders to employees even though no cash leaves the company. We treat it as a cost in our model, which is the main reason our starting cash flow of \$1.65 billion is below the reported figure.

The balance sheet is simple. Cash and short-term investments of \$3.15 billion stand against \$2.4 billion of senior notes and \$180 million of lease obligations, leaving net cash of \$570 million. The company can continue its buyback programme from cash flow without borrowing, and there are no material acquisitions or leadership changes in the period that would alter the picture.

Valuation

We value Meridian on a five-year cash-flow model because its revenue is recurring and its capital needs are small; a more elaborate quarterly model would add precision the inputs do not support. The model starts from normalised free cash flow of \$1.65 billion, grows it at rates that slow from 9% to 5% as the mid-market fills up, and discounts at 10.0%, a rate in line with the mid-cap software peers we use for comparison. Terminal growth of 2.5% assumes the business keeps pace with nominal growth in its customers' economies once the AI question is settled either way.

DCF scenario analysis

Input or result	Bear	Base	Bull
Starting cash flow (US\$ million)	1,500	1,650	1,750
Explicit-year growth	4%, 4%, 3%, 3%, 2%	9%, 8%, 7%, 6%, 5%	12%, 11%, 9%, 8%, 6%
Discount rate	11.0%	10.0%	9.0%
Terminal growth	2.0%	2.5%	3.0%
Value per share	US\$125	US\$189	US\$270
Upside or (downside)	(41%)	(11%)	27%

Source: our estimates; model inputs and outputs in the package. Upside measured against US\$212.40.

The discount rate is the input that matters most: half a point moves the base value by about \$10 per share, more than a one-point change in every year's growth rate. That is uncomfortable, because the discount rate is also the input with the least company-specific evidence behind it; we set it from a small group of comparable mid-cap software companies, and reasonable analysts would choose a point or more either side. The terminal growth rate is the next most powerful input. The growth and margin assumptions, which the questions above are really about, move the value less, which means the investment case turns less on whether AI monetisation succeeds than on what return investors demand from a business of this kind. The bull case requires both a margin recovery and a lower required return; the bear case requires neither to go wrong badly, only for growth to fade toward the economy's.

Risks and monitoring

Risk and severity	How it reaches the numbers	Evidence at the cutoff	What to monitor
AI cost without AI price, high	Inference cost rises faster than seat revenue, extending the margin decline	Margin down 350 basis points; AI revenue not disclosed	Non-GAAP margin each quarter; AI ARR; renewal pricing
Small-business substitution, medium	Northwind moves up-market and prices per entity	4.1 million subscribers, up 18%	Customer count; net revenue retention
Capital allocation, low	Buybacks above intrinsic value	Net cash US\$570mn after leases	Repurchase price against our value

Source: D2, D3, D5.

Conclusion

Meridian Ledger is a dependable, cash-generative subscription business with a real switching cost, and the share price already assumes the margin recovery we cannot yet see in the numbers. Our base value of \$189 is below the \$212.40 reference close, so the shares are fairly valued to slightly rich on what is proven today and cheap only if AI pricing arrives. We would revisit the view on a disclosed AI revenue line or a quarter of margin recovery, and we would turn more cautious on a second quarter of margin below 37%.

What would confirm our view

Margin back above 40%, a disclosed AI revenue line, and net revenue retention above 110%.

Disclosures and research basis

Disclaimer

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Research date and scope

Research date 29 September 2026; prices as of 26 September 2026. Figures are as reported in the sources listed below; non-GAAP measures are not substitutes for GAAP results.

Source documents

- | | |
|--|---|
| D1 Meridian Ledger Form 10-K FY2025 (2026-02-10) | D4 Data provider statistics page (2026-09-26) |
| D2 Meridian Ledger Q3 FY26 earnings release and data sheet (2026-09-18) | D5 Peer results releases (Q2 2026 and Q2 FY27) (2026-09-11) |
| D3 Meridian Ledger Q3 FY26 prepared remarks (2026-09-18) | D6 Analyst assumptions and thresholds (Faldo Lyon Prasetyo) (2026-09-29) |

The documents behind every figure are listed on the disclosures page, with the location of each figure recorded in the research file.

Definitions and valuation basis

ARR: annual recurring revenue, the yearly value of subscriptions in force at the period end. Mid-market: in the company's definition, customers with roughly 50 to 2,000 employees. Close management: software that runs the month-end process of reconciling accounts and signing off the period's results. Per seat: priced per named user. Net revenue retention: this year's revenue from last year's customers, divided by last year's revenue from the same customers. Non-GAAP operating margin: as the company defines it, excluding stock-based compensation and acquired-intangible amortisation. Free cash flow: operating cash flow less capital expenditure. The DCF is an intrinsic-value scenario analysis, not a promised return or a dated price target.

Prepared by Faldo Lyon Prasetyo, Investment Analyst. Research date 29 September 2026.